What is responsible proactive fiscal policy?

POLICY | How does government fund its investment?

Promote growth investment while safeguarding fiscal sustainability

The Basic Policy 2026 declares the first year of “responsible proactive fiscal policy.” It seeks both economic growth and fiscal sustainability through investment in AI and semiconductors, GX (green transformation), disaster prevention and infrastructure.

Proactive fiscal policy does not mean unlimited government bond issuance. Attention is also needed to the debt-to-GDP ratio, interest rates, government debt-servicing costs and market confidence.

Focus on both investment effectiveness and the fiscal burden.

Where does the funding come from?

01 / GENERAL ACCOUNT REVENUE | Initial FY2026 budget: about ¥122.3 trillion

Tax and stamp revenue

¥83.7 trillion / 68.5%

Government bond proceeds

¥29.6 trillion / 24.2%

Other revenue

¥9.0 trillion / 7.4%

Amounts and percentages are rounded. Percentages do not sum to 100%.

Construction bonds

Government bonds issued to fund expenditures permitted by the Public Finance Act, including public works, capital subscriptions and loans.

Special deficit-financing bonds

Issued under special legislation to cover expenditure shortfalls that taxes and other revenue cannot fund. They are not exclusively for investment.

After bonds are issued, repayment and interest payments still need to be met.

The Fiscal Investment and Loan Program route

02 / SUPPORTING INVESTMENT | Loans and investment through a mechanism separate from the general account

The Fiscal Investment and Loan Program uses funding raised through FILP bonds and other means to support long-term, large-scale projects required for policy purposes.

Funding route

Markets → raise funds with FILP bonds → government
Government → policy financial institutions and others → loans to projects

Principal and interest repayments from borrowers and other receipts fund repayment and interest on FILP bonds. FILP bonds differ in nature from special deficit-financing bonds covering general-account shortfalls.

Bonds also support specific fields

GX Economy Transition Bonds and bonds for advanced semiconductor and AI-related technologies support upfront investment in particular fields. Repayment funding is designed under each scheme.

FILP is not simply added to general-account revenue.

Investment effectiveness and fiscal burden

03 / ASSESSING POLICY | What is funded, and what results does it generate?

If investment raises productivity and supply capacity and increases private investment, nominal GDP and tax revenue, it can help push down the debt-to-GDP ratio.
If expected benefits fail to materialize while debt and interest burdens grow, fiscal sustainability can deteriorate. It depends on interest rates and the fiscal balance as well as growth.

Five perspectives for checking policy results

1. Does it increase future productivity and supply capacity?
2. Can it attract private investment?
3. Does it expand GDP and tax revenue?
4. Can debt-servicing costs be managed when interest rates rise?
5. Can the debt-to-GDP ratio be steadily reduced?

Can economic growth and fiscal sustainability be achieved together?